

LEGEND™ LEGACY PROTECTION

Commercial Lines Insurance — Coverage Structure Guide

Commercial lines insurance is designed to protect a business from financial loss tied to operations, property, people, and liability. A strong commercial program isn't about buying "a policy." It's about building a coverage structure that keeps one claim from becoming a business-ending event.

Core Coverages a Business Program Can Include

- Commercial General Liability (CGL) — Helps protect against claims of bodily injury, property damage, and personal/advertising injury arising from business operations.
- Commercial Property — Helps cover buildings and business personal property for covered causes of loss (forms and causes vary).
- Business Income / Extra Expense — Helps replace income and cover certain ongoing expenses if operations are interrupted by a covered loss.
- Commercial Auto — Liability and physical damage coverage for vehicles used in business (forms vary).
- Workers' Compensation — Provides statutory benefits for covered work-related injuries/illnesses; requirements vary by state and employer size.
- Umbrella / Excess Liability — Adds additional liability limits above certain underlying policies; may help with defense costs depending on policy terms.
- Professional Liability / E&O; — Helps address claims tied to professional services, advice, or errors (industry-specific).
- Cyber Liability — Helps address data breaches, cyber extortion, and certain technology-related losses (coverage varies widely).

Key Design Components When Structuring a Commercial Program

- Accurate exposure mapping — What you do, how you do it, where you do it, who you do it for.
- Limits and deductibles — Make sure limits match the real-world loss scenario (not just the cheapest premium).
- Contracts & certificates — Align insurance terms with client/vendor contract requirements before signing agreements.
- Property valuation — Replacement cost vs actual cash value; business personal property limits; coinsurance considerations (where applicable).

- Business interruption assumptions — Waiting periods, period of restoration, dependent properties, payroll treatment.
- Auto and driver controls — Fleet usage, hired/non-owned auto exposures, driver screening practices.
- Claims strategy — Reporting timeline, documentation discipline, and who does what when a loss happens.

Common Gaps We Look For

- No umbrella/excess where liability exposure is high.
- Uninsured hired/non-owned auto exposures.
- Understated payroll/class codes affecting workers' comp audits.
- Property limits not aligned with replacement cost reality.
- Business income coverage missing or too small.
- Cyber exposure ignored while collecting customer data or processing payments.

When It Often Fits vs. When It Usually Does NOT Fit

Often Fits	Usually Does NOT Fit
• You own/operate a business with employees, customers, vendors, property, or vehicles • You have contracts that require insurance limits and additional insured wording • You want to protect cashflow, not just assets	• You're trying to insure business exposures under a personal policy • You need short-term coverage without stable business operations or records • You're shopping only on price without clarifying exposures

Education Checklist Before Binding Coverage

- What are your top 3 loss scenarios (liability, property, auto, employee injury, cyber)?
 - What contracts require specific limits, additional insureds, waivers, or primary/noncontributory wording?
 - What are your annual gross receipts, payroll, subcontractor usage, and job types?
 - Do you own, lease, or borrow vehicles for business use?
 - What property do you rely on to operate (tools, inventory, equipment, location)?
 - What is your claim reporting plan and who is responsible internally?
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EDUCATIONAL DISCLOSURE: This guide is for educational purposes only and is not legal, tax, or insurance advice and is not a contract or policy. Coverage availability, definitions, exclusions, limits, endorsements, and state requirements vary by insurer and jurisdiction. Any insurance decision should be based on the actual policy forms and endorsements issued.

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